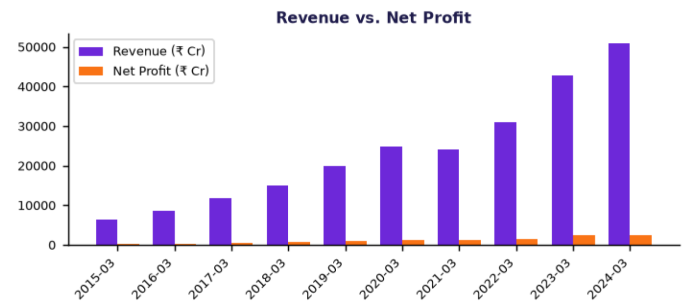
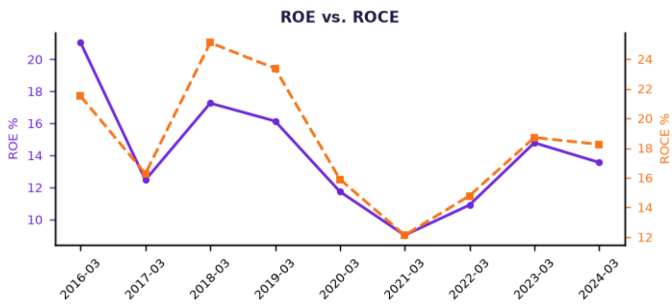
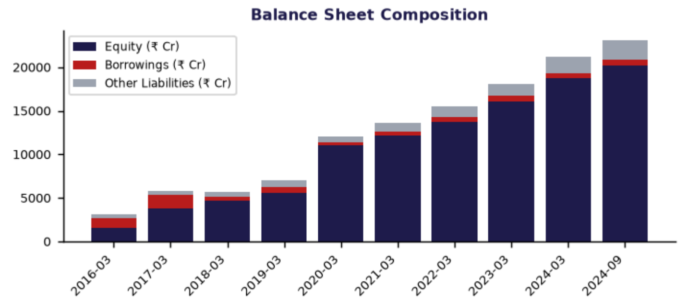
Avenue Supermarts Ltd

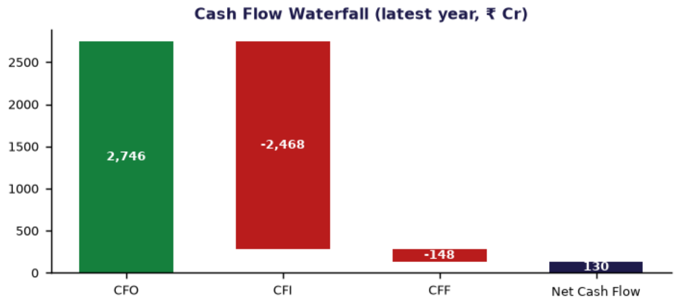
DMART · Consumer Discretionary / Retail

ROE **13.56%**	ROCE **18.25%**	Net Profit Margin **4.99%**
D/E **0.03**	Revenue CAGR 5yr **20.48%**	FCF (Rs. Cr) **278**









Pros

✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (81% confidence)
✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (75% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (70% confidence)
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (66% confidence)

Cons

✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (97% confidence)

Capital Allocation Pattern: **Reinvestor**